Contact: Lynda Kuhn
SVP Communications
416-926-2026
www.canadabread.ca

Canada Bread Reports Results for Fourth Quarter and Fiscal Year 2009

Toronto, Ontario – February 24, 2010… Canada Bread Company, Limited (TSX: CBY) today reported its financial results for the fourth quarter and year ended December 31, 2009. Fourth quarter highlights include:

- Adjusted Operating Earnings decreased to $29.1 million from $33.8 million
- Basic EPS decreased to $0.59 compared to $1.04 last year
- Full year Adjusted Operating Earnings increased to $120.5 million from $97.6 million

Note: Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income (expense). Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax.

"As a company, our goal is to deliver higher levels of growth by expanding into new categories and markets," said Richard Lan, President and CEO. "The earnings decline in the fourth quarter reflects important investments in new products to drive growth. These included expanding our sweet goods with *Cadbury™ Snack Cakes*, and launching *Dempster's® OvenFresh™* ready-to-bake premium dinner breads. For the year 2009, we achieved solid earnings and margin recovery following the sharp commodity cost increases of the previous year. In 2010, we are continuing to place a strong emphasis on innovation to support our leading brands and market shares and investing in our plant network, such as construction of the new Ontario bakery, to increase scale and efficiency."

Financial Overview

Sales for the fourth quarter declined to $432.2 million from $445.0 million in the prior year, mainly due to unfavourable currency translation of the Company's sales in the U.K. and U.S. as the Canadian dollar appreciated against the British pound and U.S. dollar compared to last year. Volume increases in the fresh and frozen North American bakeries and pasta business were offset by continued lower sales volume in the U.K. bakery operations and the fresh sandwiches business in Canada. Sales for the full year were consistent at $1.7 billion.

Adjusted Operating Earnings in the quarter decreased to $29.1 million from $33.8 million but increased from $97.6 million to $120.5 million for the full year. The fourth quarter decline was mostly due to the timing of promotional activities, higher marketing and other expenses mostly in the Fresh Bakery segment. Additionally, a short-term increase in trade investment in the Canadian marketplace, the impact of currency changes and higher manufacturing costs in the U.K. bakery operations reduced earnings in the quarter. Lower commodity costs partly offset these increases. Reduced Adjusted Operating Earnings and lower other income contributed to lower net earnings, which declined from $26.5 million ($1.04 per share) last year to $15.0 million ($0.59 per share) in the fourth quarter of 2009. Net earnings for the full year increased from $64.9 million ($2.55 per share) to $77.5 million ($3.05 per share).

Business Segment Review

Following is a summary of Adjusted Operating Earnings by business segment:

($ thousands)	Fourth Quarter		Full Year	
	2009	2008	**2009**	2008
Fresh Bakery	**$20,079**	$25,398	**$91,536**	$76,529
Frozen Bakery	**9,053**	8,433	**29,002**	21,103
Adjusted Operating Earnings	**$29,132**	$33,831	**$120,538**	$97,632

Fresh Bakery

(fresh bakery products, sweet goods, sandwiches, and specialty fresh pasta and sauces)

Fourth quarter sales of $279.2 million were consistent with last year as increased sales volumes in the fresh bakery and pasta businesses were offset by lower sales volume in the fresh sandwiches business.

Adjusted Operating Earnings in the quarter decreased to $20.1 million from $25.4 million mostly due to increased promotional activities and higher marketing and other expenses. New product launches at the end of the third quarter of 2009, primarily the *Dempster's® OvenFresh™* line of white and multigrain fresh par-baked breads and *Cadbury™ Snack Cakes*, were supported by promotional and marketing campaigns in the fourth quarter which contributed to increase expenses compared to the prior year. Additionally, operating earnings were reduced by a short-term increase in trade investment in the Canadian marketplace. Partly offsetting these increases was the benefit of lower commodity costs. Adjusted Operating Earnings for the full year increased to $91.5 million from $76.5 million last year.

Frozen Bakery

(North American and U.K. frozen bakery products; including frozen par-baked and specialty bakery products)

Sales declined to 152.9 million from $165.8 million last year, mainly driven by the impact of unfavourable currency translation of the Company's sales in the U.K. and U.S. as the Canadian dollar appreciated against the British pound and U.S. dollar compared to the prior year. Sales volumes increased in the North American frozen bakeries due to the addition of new customers. However, improved volumes in North America were offset by lower volumes in the U.K. bakery operations due to a trade down in consumers' purchases from premium to staple products and less promotional activity compared to the prior year.

Adjusted Operating Earnings in the quarter were $9.1 million, slightly higher than last year. The benefits of lower raw material costs and timing of promotional activities were partly offset by increased supply chain investment in the U.K. bakery operations, and the impact of unfavorable currency translation of U.S. dollar denominated sales. For the full year, Adjusted Operating Earnings increased to $29.0 million from $21.1 million last year.

Other Income (Expense)

Other income was not significant in the quarter compared to $8.3 million last year. Full year other income was $2.4 million in 2009 compared to $14.7 million in 2008 and mostly related to, in both years, insurance proceeds received to cover business interruption losses resulting from the 2008 oven fire at a bakery facility in the U.K.

Other Matters

On February 23, 2010, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on April 1, 2010 to shareholders of record at the close of business on March 10, 2010. Unless indicated otherwise, by the Company, in writing at or before the time the dividend is paid, these dividends will be considered an eligible dividend for the purposes of the "Enhanced Dividend Tax Credit System".

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, expectations, anticipations, estimates and intentions. Words such as "expect," "anticipate,"

“intend,” “attempt,” “may,” “will,” “plan,” “believe,” “seek,” “estimate,” and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on expectations concerning performance of the Company’s business in general, and are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar and the British pound; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified under the “Risk Factors” in the Company’s Annual Management’s Discussion and Analysis for the year ended December 31, 2009 will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company’s expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements are discussed more fully under the heading “Risk Factors” in the Company’s Annual Management’s Discussion and Analysis for the year ended December 31, 2009 including the section entitled “Risk Factors” that will be available on SEDAR at www.sedar.com. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Canada Bread Company Limited, which is 89.8% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2009 sales of $1.7 billion and employs approximately 8,000 people at its operations across North America and in the United Kingdom.

Consolidated Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Three and twelve months ended December 31, 2009 and 2008

CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at December 31, 2009	2008
ASSETS		
Current Assets:		
Cash and cash equivalents	**$ 57,698**	$ 11,721
Accounts receivable	**63,620**	57,079
Inventories	**56,659**	58,696
Future tax asset	**1,640**	5,388
Prepaid expenses and other assets	**4,438**	12,977
	$ 184,055	$ 145,861
Property and equipment	**387,252**	417,150
Goodwill	**386,807**	404,484
Other long-term assets	**11,620**	9,964
Other intangible assets	**16,678**	17,451
	$ 986,412	$ 994,910
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current Liabilities:		
Bank indebtedness	**$ 4,247**	$ 8,894
Accounts payable and accrued charges	**172,172**	207,928
Due to Maple Leaf Foods Inc.	**3,817**	-
Dividends payable	**1,525**	1,525
Income and other taxes payable	**13,155**	10,860
Current portion of long-term debt	**-**	41
	$ 194,916	$ 229,248
Long-term debt	**2,547**	4,477
Future tax liability	**33,338**	36,043
Other long-term liabilities	**8,524**	16,802
Shareholders' equity	**747,087**	708,340
	$ 986,412	$ 994,910

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

	Three months ended December 31,		Twelve months ended December 31,	
	2009	2008	**2009**	2008
	(Unaudited)	*(Unaudited)*		
Sales	**$ 432,190**	$ 444,957	**$ 1,705,788**	$ 1,708,330
Cost of goods sold	**342,213**	357,176	**1,365,470**	1,411,729
Gross margin	**$ 89,977**	$ 87,781	**$ 340,318**	$ 296,601
Selling, general and administrative expenses	**60,846**	53,950	**219,781**	198,969
Earnings from operations before the following:	**$ 29,131**	$ 33,831	**$ 120,537**	$ 97,632
Restructuring and other related costs	**(3,637)**	(2,082)	**(4,908)**	(10,492)
Other income	**10**	8,330	**2,439**	14,702
Earnings before interest and income taxes	**$ 25,504**	$ 40,079	**$ 118,068**	$ 101,842
Interest expense	**1,104**	1,861	**5,084**	7,843
Earnings before income taxes	**$ 24,400**	$ 38,218	**$ 112,984**	$ 93,999
Income taxes	**9,391**	11,758	**35,506**	29,063
Net earnings	**$ 15,009**	$ 26,460	**$ 77,478**	$ 64,936
Earnings per share – basic and diluted	**$ 0.59**	$ 1.04	**$ 3.05**	$ 2.55
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Comprehensive Income
(In thousands of Canadian dollars)

	Three months ended December 31,		Twelve months ended December 31,	
	2009	2008	**2009**	2008
	(Unaudited)	*(Unaudited)*		
Net earnings	**$ 15,009**	$ 26,460	**$ 77,478**	$ 64,936
Other comprehensive income (loss)				
Change in accumulated foreign currency translation adjustment	**(10,684)**	16,862	**(34,398)**	20,161
Change in unrealized derivative loss on cash flow hedges	**650**	(4,065)	**1,754**	(5,700)
	$ (10,034)	$ 12,797	**$ (32,644)**	$ 14,461
Comprehensive income	**$ 4,975**	$ 39,257	**$ 44,834**	$ 79,397

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars)

	Years ended December 31,	
	2009	2008
Retained earnings, beginning of year	**$ 587,163**	$ 528,327
Net earnings	**77,478**	64,936
Dividends declared ($0.24 per share; 2008: $0.24 per share)	**(6,100)**	(6,100)
Retained earnings, end of year	**$ 658,541**	$ 587,163

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

	Three months ended December 31,		Twelve months ended December 31,	
	2009	2008	**2009**	2008
	(Unaudited)	*(Unaudited)*		
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings	**$ 15,009**	$ 26,460	**$ 77,478**	$ 64,936
Add (deduct) items not affecting cash:				
Depreciation and amortization	**12,319**	14,411	**54,025**	55,425
Future income taxes	**2,166**	2,211	**67**	3,605
Loss (gain) on sale of property and equipment	**10**	(36)	**471**	103
Change in provision for restructuring and other related costs	**2,811**	(2,867)	**2,204**	4,037
Amortization of terminated interest rate swaps	**658**	-	**1,975**	**-**
Other	**(266)**	332	**(2,859)**	1,419
Change in non-cash operating working capital	**10,495**	41,662	**(24,315)**	7,910
Cash provided by operating activities	**$ 43,202**	82,173	**$ 109,046**	$ 137,435
Financing activities				
Dividends paid	**$ (1,525)**	$ (1,525)	**$ (6,100)**	$ (6,100)
Changes in long-term debt	**2,547**	(73,987)	**(1,971)**	(103,132)
Settlement of interest rate swaps With Maple Leaf Foods Inc.	-	-	**(8,502)**	80,586
Cash provided by (used in) financing activities	**$ 1,022**	(75,512)	**$ (16,573)**	$ (28,646)
Investing activities				
Additions to property and equipment	**$ (11,212)**	$ (14,145)	**$ (41,659)**	$ (54,170)
Proceeds from sale of property and equipment	**32**	-	**547**	512
Acquisition of businesses, net of cash acquired	**-**	(114)	**-**	(44,827)
Change in intangible assets	**501**	(382)	**501**	(479)
Other	**(286)**	-	**(1,238)**	-
Cash used in investing activities	**$ (10,965)**	$ (14,641)	**$ (41,849)**	$ (98,964)
Increase (decrease) in cash and cash equivalents	**$ 33,259**	$ (7,980)	**$ 50,624**	$ 9,825
Net cash and cash equivalents, beginning of period	**20,192**	10,807	**2,827**	(6,998)
Net cash and cash equivalents, end of period	**$ 53,451**	$ 2,827	**$ 53,451**	$ 2,827

CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
(In thousands of Canadian dollars)

	Three months ended December 31,		Twelve months ended December 31,	
	2009	2008	**2009**	2008
	(Unaudited)	*(Unaudited)*		
Sales				
Fresh Bakery	**$ 279,244**	$ 279,132	**$ 1,119,790**	$ 1,094,190
Frozen Bakery	**152,946**	165,825	**585,998**	614,140
	$ 432,190	$ 444,957	**$ 1,705,788**	$ 1,708,330
Earnings from operations before restructuring and other related costs and other income				
Fresh Bakery	**$ 20,078**	$ 25,398	**$ 91,535**	$ 76,529
Frozen Bakery	**9,053**	8,433	**29,002**	21,103
	$ 29,131	$ 33,831	**$ 120,537**	$ 97,632
Capital expenditures				
Fresh Bakery	**$ 6,045**	$ 7,377	**$ 21,722**	$ 24,462
Frozen Bakery	**5,167**	6,768	**19,937**	29,708
	$ 11,212	$ 14,145	**$ 41,659**	$ 54,170
Depreciation and amortization				
Fresh Bakery	**$ 6,816**	$ 7,588	**$ 27,632**	$ 28,563
Frozen Bakery	**5,503**	6,823	**26,393**	26,862
	$ 12,319	$ 14,411	**$ 54,025**	$ 55,425

	As at December 31, 2009	As at December 31, 2008
Total assets		
Fresh Bakery	**$ 441,020**	$ 440,733
Frozen Bakery	**476,681**	523,843
Non-allocated assets	**68,711**	30,334
	$ 986,412	$ 994,910
Goodwill		
Fresh Bakery	**$ 155,946**	$ 156,268
Frozen Bakery	**230,861**	248,216
	$ 386,807	$ 404,484